

Equity Research

WELLS
FARGO

Price Target Change — June 8, 2026

Semiconductors

Micron Technology, Inc.

F3Q26 Preview: Path to +\$130/sh. EPS; Adj. Thru-Cycle View to ~\$70/sh. PT to \$1,220

Our Call

Reiterate OW into F3Q26 (6/24); raise est. & PT to \$1,220 (was \$550), ~9x F2028 EPS. Despite strong stock perf we see continued upside driven by greater confidence in duration of persistent memory tightness, SCA engagements, & MU's execution.

Increase FY27-FY28 EPS to +\$130/sh: We increase our FY26, FY27, and FY28 rev and EPS to \$116.5B / \$64, \$215.9B / \$132, & \$224.7B / \$135 - reflecting >50% and >70% EPS increases vs. our prior ests.; now 25%+ street ests. W/ increased confidence in a favorable DRAM + NAND supply < demand continuing thru CY27 and anticipated expanding (positive) SCA visibility, we now see thru-cycle EPS at \$65-\$75/sh. (vs. prior > \$40/sh.) estimated w/ a 60%-65% GM%. We see *peak* EPS sentiment moving to \$200/sh.

Valuation. We have long believed that the increasingly visible structural attributes of the DRAM industry (HBM complexity / customization, expanding memory hierarchy, and now SCAs), coupled w/ MU's solid execution, should support a sustainable re-rate. While we see investor sentiment still debating MU's peak earnings power (upside to \$200/sh.?), our new \$1,220 PT reflects a ~17x P/E on \$70/sh. thru-cycle EPS; also highlight our est of MU FCF progressing to >\$100B/annum.

Pricing Expectations: We see 2Q26 contract pricing still not fully reflected in street ests - e.g., avg DRAM contract pricing implied at >55% q/q for 3-mos ending May (PC DRAM @ +56%; Server DRAM @ +81%); Mobile NAND contract pricing +120% and avg. SSD prices up over 80% q/q for 3-mos ending May. We now model MU's F3Q26 and F4Q26 blended DRAM ASPs (\$/Gb) at +41% and +19% q/q; NAND ASPs (\$/GB) at +60% and +12% q/q, respectively.

Strategic Customer Agreements (SCAs): Investor sentiment (structural re-rate thesis) will be highly dependent on MU's commentary on expanding SCAs (# of customers + 3-5-yr+ duration + partially fixed pricing attributes). MU announced 1st 5-year SCA last quarter; expect positive update with visibility expanding through 2027 with focus on pricing visibility (see color / comments on HBM4-specific SCAs a potential incremental positive - i.e., future pricing / margin positive?).

Capex / Capacity Expansion Plans: Given the persistent demand > supply situation in memory, and an expectation that this undersupply will continue (we think through 2027), Micron and the industry's capacity expansion plans are a key focus. Below we provide a quick summary of key planned capex projects, which we note first greenfield DRAM capacity is expected to come online in mid-C2027. MU guided FY26 net capex @ \$25B+ w/ step-up expected in FY27 (incl. construction +\$10B y/y).

Continued...

Overweight

Price Target: \$1,220.00

Notable Changes			
\$ (Aug)	Current	Prior	% Chg
Price Target	\$1,220.00	\$550.00	121.8% ▲
EPS 2026	64.00	57.15	12.0% ▲
EPS 2027	132.47	85.62	54.7% ▲
Rev. (MM) 2026	116.53B	107.74B	8.2% ▲
Rev. (MM) 2027	215.92B	153.23B	40.9% ▲

Ticker	MU
Upside/(Downside) to Target	41.2%
Price (06/05/2026)	\$864.01
52 Week Range	\$103.38 - 1089.29
Market Cap (MM)	\$986,699
Enterprise Value (MM)	\$980,214
Average Daily Value (MM)	\$42,000
Dividend Yield	0.1%

\$ (Aug)	Q1	Q2	Q3	Q4	FY
EPS					
2026E	4.78 A	12.20 A	20.58 E	26.45 E	64.00 E
Prior	NC	NC	19.26 E	20.91 E	57.15 E
2027E	31.32 E	32.54 E	33.63 E	34.98 E	132.47 E
Prior	21.88 E	20.61 E	20.98 E	22.16 E	85.62 E
2028E	34.79 E	32.86 E	32.81 E	34.97 E	135.43 E
Prior	21.46 E	19.21 E	18.48 E	18.99 E	78.14 E

Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NC = No Change, NE = No Estimate

Aaron Rakers, CFA

Equity Analyst | Wells Fargo Securities, LLC
Aaron.Rakers@wellsfargo.com | 314-875-2508

Michael Tsvetanov, CFA

Associate Equity Analyst | Wells Fargo Securities, LLC
Michael.Tsvetanov@wellsfargo.com | 314-875-2558

Richard Strifler, CFA

Associate Equity Analyst | Wells Fargo Securities, LLC
Richard.Strifler@wellsfargo.com | 314-875-3234

Wells Fargo Express Takeaways

Micron Technology, Inc. (MU) | Rating: Overweight | Price Target: \$1,220.00

Analyst: Aaron Rakers

Financials

FY (Aug)	2026E	2027E	2028E
\$			
ESTIMATES			
EPS			
Q1	4.78 A	31.32 E	34.79 E
Q2	12.20 A	32.54 E	32.86 E
Q3	20.58 E	33.63 E	32.81 E
Q4	26.45 E	34.98 E	34.97 E
AN	64.00 E	132.47 E	135.43 E
Rev. (MM)	116,538 E	215,928 E	224,718 E
EBIT (MM)	86,381.1 E	179,530.2 E	182,428.1 E
EBITDA (MM)	95,488 E	189,968 E	195,128 E
FCF (MM)	52,554.3 E	116,119.7 E	112,639.0 E

WELLS FARGO vs. CONSENSUS

Consensus Estimate	60.13 E	106.01 E	106.46 E
Difference from Consensus		25.0%	24.4%

VALUATION

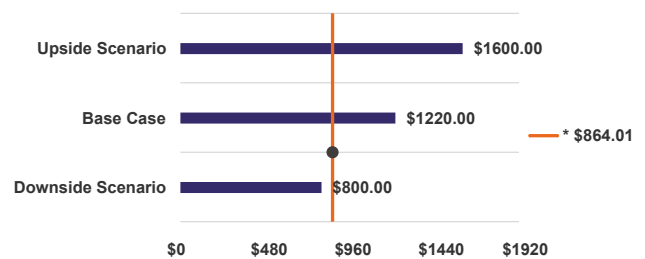
P/E	13.5x	6.5x	6.4x
EV/Revenue	8.4x	4.5x	4.4x
EV/EBIT	11.3x	5.5x	5.4x
EV/EBITDA	10.3x	5.2x	5.0x
EV/FCF	18.7x	8.4x	8.7x
FCF Yield	5.3%	11.8%	11.4%

Consensus Estimate: EPS; Source: VisibleAlpha
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

Our Overweight rating on Micron reflects 1) a more disciplined DRAM supply vs. demand environment; positive bit demand drivers (datacenter, PCs, smartphones, etc.), 2) stronger-than-appreciated demand-side considerations driven by next-gen technologies, 3) Micron's improved competitive positioning in the DRAM and NAND markets, and 4) Micron's continually improving component-to-solutions mix and product portfolio execution (e.g., MCPs, HBM4, GDDR6X, etc.).

Risk vs. Reward – Upside/Downside Price Target Scenarios



*As of 06/05/26
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | \$1,220.00

Our \$1,220/sh. price target reflects what we see as structural / secular support for multiple expansion (~9x our FY28 EPS est. of ~\$135, or mid/high teens P/E on \$70/sh. thru-cycle EPS).

Upside Scenario | \$1,600.00

Our \$1,600/sh. upside scenario assumes a ~8x on a belief that MU can drive to peak EPS in the ~\$200/sh. range driven by continued supply tightness in the memory market.

Downside Scenario | \$800.00

Our \$800 downside scenario assumes a support level at a ~13x P/E and lower thru-cycle EPS at ~\$60/sh.; return / concern of a return of historical cyclicality in memory markets.

Upcoming Catalysts

- HBM4 ramp; confidence in strong competitive positioning into HBM4 / HBM4E cycles.
- Continued large-scale AI data center build-out announcements.
- NVIDIA's GB200 / GB300 / Vera Rubin ramp in which we believe Micron is the leading supplier of LPDDR5X memory, coupled with NVIDIA's Grace CPUs.
- AMD's ramp of MI400X next-gen GPUs into 2H2026 (significant HBM capacity expansion at 432GB).
- DRAM & NAND pricing trends, driven by industry supply vs. demand dynamics.

Company Description

Headquartered in Boise, Idaho, Micron Technology designs and produces DRAM, NAND, and NOR flash memory used in servers, personal computers, wireless handsets, consumer electronics, and other electronic equipment.

MICRON ESTIMATES SUMMARY:

\$ in Millions; Except per Share

	MICRON QUARTERLY ESTIMATES:															
	F3Q26 (May '26)				F4Q26 (Aug '26)				F1Q27 (Nov '26)				F2Q27 (Feb '27)			
	New Estimate	Pre-Qtr Estimates WFS	Street	% / pp Δ vs Str	New Estimates	Pre-Qtr Estimates WFS	Street	% / pp Δ vs Str	New Estimates	Pre-Qtr Estimates WFS	Street	% / pp Δ vs Str	New Estimates	Pre-Qtr Estimates WFS	Street	% / pp Δ vs Str
REVENUE BY SEGMENT:																
DRAM Revenue	\$26,882	\$25,962	\$26,961	📉 (0.3%)	\$33,781	\$27,893	\$31,398	📈 7.6%	\$40,120	\$30,093	\$34,378	📈 16.7%	\$41,433	\$27,707	\$35,103	📈 18.0%
- Y/Y % Change	280.2%	267.2%	281.3%		276.0%	210.5%	249.5%		271.1%	178.3%	218.0%		120.8%	47.6%	87.0%	
- Q/Q % Change	43.2%	38.3%	43.7%		25.7%	3.8%	16.8%		18.8%	(10.9%)	1.8%		3.3%	(30.9%)	(12.5%)	
HBM Revenue	\$3,761	\$3,778	\$3,536	📈 6.3%	\$4,509	\$4,260	\$4,142	📈 8.8%	\$5,833	\$4,397	\$4,749	📈 22.8%	\$6,462	\$4,661	\$5,242	📈 23.3%
Conventional DRAM Revenue	\$23,122	\$22,184	\$23,690	📉 (2.4%)	\$29,272	\$23,633	\$27,428	📈 6.7%	\$34,286	\$25,696	\$30,261	📈 13.3%	\$34,972	\$23,046	\$31,555	📈 10.8%
- Total DRAM Bits Sold - Y/Y % Change	21.4%	21.4%	23.5%		13.3%	13.6%	11.9%		25.3%	25.4%	14.0%		19.8%	15.8%	11.1%	
- Total DRAM Bits Sold - Q/Q % Change	1.4%	1.4%	3.0%		5.9%	6.2%	3.4%		10.9%	10.7%	3.8%		0.5%	(2.8%)	2.7%	
- Total DRAM Blended ASP (\$/Gb) - Y/Y % Change	213.2%	202.5%	219.3%		231.8%	173.2%	204.9%		196.2%	122.0%	182.4%		84.3%	27.5%	70.1%	
- Total DRAM Blended ASP (\$/Gb) - Q/Q % Change	41.2%	36.4%	38.4%		18.7%	1.2%	12.7%		7.1%	(2.5%)	6.4%		2.7%	(5.2%)	(0.2%)	
NAND Flash Revenue	\$8,315	\$7,665	\$7,393	📈 12.5%	\$9,872	\$8,532	\$8,783	📈 12.4%	\$10,875	\$8,398	\$9,697	📈 12.1%	\$11,364	\$9,012	\$9,884	📈 15.0%
- Y/Y % Change	285.8%	255.7%	243.0%		338.3%	278.8%	290.0%		296.4%	206.2%	253.5%		127.4%	80.4%	97.8%	
- Q/Q % Change	66.4%	53.4%	47.9%		18.7%	2.6%	5.6%		10.2%	(14.9%)	(1.8%)		4.5%	(17.1%)	(9.1%)	
- Total NAND Bits Sold - Y/Y % Change	7.6%	7.6%	7.8%		19.4%	19.4%	18.2%		21.4%	20.3%	15.0%		31.0%	29.2%	16.8%	
- Total NAND Bits Sold - Q/Q % Change	4.0%	4.0%	6.0%		6.0%	6.0%	5.9%		8.0%	7.0%	4.3%		10.0%	9.5%	3.2%	
- Total NAND Blended ASP (\$/Gb) - Y/Y % Change	258.6%	230.6%	176.5%		267.1%	217.2%	234.9%		226.5%	154.5%	209.7%		73.6%	39.6%	73.4%	
- Total NAND Blended ASP (\$/Gb) - Q/Q % Change	60.0%	47.5%	38.3%		12.0%	5.0%	13.0%		2.0%	(8.0%)	7.4%		(5.0%)	(2.0%)	(0.6%)	
Other Revenue	\$91	\$91	\$93	📉 (1.8%)	\$90	\$90	\$106	📉 (14.8%)	\$92	\$90	\$94	📉 (2.3%)	\$95	\$90	\$96	📉 (0.7%)
MICRON P&L SUMMARY:																
TOTAL REVENUE	\$35,288	\$33,719	\$34,386	📈 2.6%	\$43,742	\$36,514	\$40,338	📈 8.4%	\$51,086	\$38,582	\$44,244	📈 15.5%	\$52,892	\$36,809	\$45,262	📈 16.9%
Y/Y % Change	279.4%	262.5%	269.7%		286.6%	222.7%	256.5%		274.4%	182.8%	224.3%		121.7%	54.3%	89.7%	
Q/Q % Change	47.9%	41.3%	44.1%		24.0%	3.5%	14.3%		16.8%	(11.8%)	1.1%		3.5%	(27.9%)	(11.4%)	
Gross Income	\$29,292	\$27,463	\$28,153	📈 4.0%	\$37,297	\$29,856	\$33,870	📈 10.1%	\$44,167	\$31,396	\$37,523	📈 17.7%	\$45,909	\$29,639	\$38,187	📈 20.2%
Gross Margin %	83.0%	81.4%	81.9%	📈 1.13pp	85.3%	81.8%	84.0%	📈 1.30pp	86.5%	81.4%	84.8%	📈 1.65pp	86.8%	80.5%	84.4%	📈 2.43pp
Research and Development	\$1,172	\$1,140	\$1,174	📉 (0.2%)	\$1,269	\$1,241	\$1,419	📉 (10.6%)	\$1,354	\$1,370	\$1,405	📉 (3.7%)	\$1,428	\$1,380	\$1,453	📉 (1.7%)
Sales, General & Administrative	\$314	\$303	\$297	📈 5.7%	\$328	\$365	\$339	📉 (3.2%)	\$358	\$328	\$350	📈 2.3%	\$376	\$339	\$365	📈 2.8%
Total Operating Expenses	\$1,486	\$1,443	\$1,441	📈 3.1%	\$1,597	\$1,607	\$1,675	📉 (4.7%)	\$1,711	\$1,698	\$1,733	📉 (1.2%)	\$1,804	\$1,719	\$1,796	📈 0.4%
- Opex % of Revenue	4.2%	9.4%	4.2%		3.7%	9.4%	4.2%		3.4%	9.4%	3.9%		3.4%	9.4%	4.0%	
Operating Income	\$27,806	\$26,020	\$26,714	📈 4.1%	\$35,701	\$28,250	\$32,199	📈 10.9%	\$42,455	\$29,698	\$35,794	📈 18.6%	\$44,106	\$27,920	\$36,397	📈 21.2%
Operating Income Margin %	78.8%	77.2%	77.7%	📈 1.11pp	81.6%	77.4%	79.8%	📈 1.79pp	83.1%	77.0%	80.9%	📈 2.20pp	83.4%	75.9%	80.4%	📈 2.97pp
Other Income & Expenses	\$70	\$70	\$114	📉 (38.4%)	\$90	\$70	\$142	📉 (36.7%)	\$95	\$75	\$156	📉 (39.0%)	\$100	\$75	\$242	📉 (58.7%)
Tax Expense	\$4,209	\$3,940	\$4,030	📈 4.5%	\$5,404	\$4,276	\$4,895	📈 10.4%	\$6,595	\$4,615	\$5,687	📈 16.0%	\$6,852	\$4,339	\$5,795	📈 18.2%
Tax Rate %	15.1%	15.1%	15.0%		15.1%	15.1%	15.1%		15.5%	15.5%	15.8%		15.5%	15.5%	15.8%	
Net Income	\$23,667	\$22,150	\$22,627	📈 4.6%	\$30,386	\$24,043	\$27,359	📈 11.1%	\$35,955	\$25,159	\$30,135	📈 19.3%	\$37,354	\$23,656	\$30,772	📈 21.4%
EPS	\$20.58	\$19.26	\$19.70	📈 4.4%	\$26.45	\$20.91	\$23.63	📈 11.9%	\$31.32	\$21.88	\$25.91	📈 20.9%	\$32.54	\$20.61	\$26.35	📈 23.5%
- FD Shares Outstanding	1,150	1,150	1,150	📈 0.0%	1,149	1,150	1,152	📉 (0.2%)	1,148	1,150	1,153	📉 (0.4%)	1,148	1,148	1,153	📉 (0.4%)

Source: VisibleAlpha (Consensus Estimates); Wells Fargo Securities, LLC Estimates

Two Reminders:

- As we look to Micron's F4Q26 (Aug '26) guide, we would remind investors that this will represent a 14-week period.
- In early April, Micron announced a completed tender offer for ~\$5.4 billion in senior notes with a ~5.9% weighted average effective interest rate - equating to a +\$0.20/sh. per annum (see summary table [below](#)).

MICRON ESTIMATES SUMMARY:

\$ in Millions; Except per Share

	MICRON ANNUAL ESTIMATES:											
	F2026 (Aug '26)						F2027 (Aug '27)					
	WF New Estimates	Pre-Qtr Estimates WFS	Street	% / pp Δ vs Str			WF New Estimates	Pre-Qtr Estimates WFS	Street	% / pp Δ vs Str		
REVENUE BY SEGMENT:												
DRAM Revenue	\$90,243	\$83,435	\$87,524	↑	3.1%		\$171,999	\$118,558	\$141,828	↑	21.3%	
- Y/Y % Change	215.8%	192.0%	206.3%				90.6%	42.1%	62.0%			
- Q/Q % Change												
HBM Revenue	\$14,119	\$13,888	\$12,861	↑	9.8%		\$27,001	\$20,163	\$22,009	↑	22.7%	
Conventional DRAM Revenue	\$76,123	\$69,547	\$75,916	↑	0.3%		\$144,998	\$98,396	\$128,025	↑	13.3%	
- Total DRAM Bits Sold - Y/Y % Change	24.6%	24.7%	25.3%				27.4%	24.1%	14.4%			
- Total DRAM Bits Sold - Q/Q % Change								14.5%	44.0%			
- Total DRAM Blended ASP (\$/Gb) - Y/Y % Change	153.5%	134.2%	140.2%				49.5%	14.5%	44.0%			
- Total DRAM Blended ASP (\$/Gb) - Q/Q % Change												
NAND Flash Revenue	\$25,927	\$23,937	\$23,691	↑	9.4%		\$43,552	\$34,314	\$39,239	↑	11.0%	
- Y/Y % Change	204.9%	181.5%	178.6%				68.0%	43.4%	65.6%			
- Q/Q % Change												
- Total NAND Bits Sold - Y/Y % Change	20.2%	20.2%	19.5%				25.4%	23.8%	16.7%			
- Total NAND Bits Sold - Q/Q % Change												
- Total NAND Blended ASP (\$/Gb) - Y/Y % Change	153.8%	134.3%	139.6%				34.0%	15.8%	45.1%			
- Total NAND Blended ASP (\$/Gb) - Q/Q % Change												
Other Revenue	\$364	\$364	\$376	↓	(3.2%)		\$374	\$359	\$375	↓	(0.3%)	
MICRON P&L SUMMARY:												
TOTAL REVENUE	\$116,533	\$107,736	\$109,490	↑	6.4%		\$215,925	\$153,232	\$178,267	↑	21.1%	
Y/Y % Change	211.8%	188.2%	192.9%				85.3%	42.2%	62.8%			
Q/Q % Change												
Gross Income	\$92,218	\$82,948	\$87,422	↑	5.5%		\$186,986	\$122,952	\$156,989	↑	19.1%	
Gross Margin %	79.1%	77.0%	79.8%	↓	-0.71pp		86.6%	80.2%	88.1%	↓	-1.47pp	
Research and Development	\$4,633	\$4,574	\$4,776	↓	(3.0%)		\$5,871	\$5,570	\$6,036	↓	(2.7%)	
Sales, General & Administrative	\$1,200	\$1,227	\$1,213	↓	(1.1%)		\$1,585	\$1,387	\$1,535	↑	3.2%	
Total Operating Expenses	\$5,837	\$5,805	\$5,873	↓	(0.6%)		\$7,456	\$6,957	\$7,403	↑	0.7%	
- Opex % of Revenue	5.0%	9.4%	5.4%				3.5%	9.4%	4.2%			
Operating Income	\$86,381	\$77,143	\$81,482	↑	6.0%		\$179,530	\$115,995	\$147,497	↑	21.7%	
Operating Income Margin %	74.1%	71.6%	74.4%	↓	-0.29pp		83.1%	75.7%	82.7%	↑	0.41pp	
Other Income & Expenses	\$265	\$245	\$307	↓	(13.7%)		\$435	\$235	\$839	↓	(48.2%)	
Tax Expense	\$13,095	\$11,697	\$12,386	↑	5.7%		\$27,895	\$18,016	\$24,020	↑	16.1%	
Tax Rate %	15.1%	15.1%	15.1%				15.5%	15.5%	16.2%			
Net Income	\$73,556	\$65,697	\$69,238	↑	6.2%		\$152,071	\$98,214	\$125,901	↑	20.8%	
EPS	\$64.00	\$57.15	\$60.13	↑	6.4%		\$132.47	\$85.62	\$106.01	↑	25.0%	
- FD Shares Outstanding	1,149	1,149	1,150	↓	(0.1%)		1,148	1,147	1,153	↓	(0.4%)	

Source: VisibleAlpha (Consensus Estimates); Wells Fargo Securities, LLC Estimates

Overview of Micron's Fab / Capacity Expansion Plans:

We expect Micron's capacity build-out plans to be a key focus. With a continually positive memory backdrop, we expect Micron to continue to point to significantly higher capex spend going forward. As noted above, Micron has guided its FY26 capex spend, net of proceeds from government incentives, to be >\$25 billion with a further step-up into FY27. Micron's net capex spend totaled ~\$9.51 billion in 1H FY26, which reflects ~\$2.256 billion in proceeds from government incentives.

Announced **DRAM** fab / capacity investments:

- **Idaho Fab #1 - Production Output ▶ Mid-CY27:** Expected reiterated expectation that production output would commence in mid-CY27. As a reminder, MU had previously pulled-in this targeted output from initial 2H CY27. Micron Idaho Fab #1 reflects ~600,000 square feet of clean room space.
- **Tongluo, Taiwan Fab - Production Output ▶ Late-CY27.** This is the fab that Micron had purchased from Powerchip for ~\$1.8 billion - acquisition closed in mid-March. The facility included existing ~300,000 square feet of clean room space and is positioned as an extension of the company's existing operations in Taichung (~15 miles apart), Micron's largest DRAM fab operations (*TrendForce* estimates at ~220k wspm capacity in C1Q26). Micron began preparations of its new Tongluo site in January and has recently noted that initial output would commence in late-CY27; Micron press releases noting that it expects *meaningful* product ship beginning in FY28 with the closure of this acquisition.
- **Manassas, VA Fab - Currently in Production; Recently Announced Plans to 4x DDR4 + LP4 Output:** Micron recently announced the commencement of its 1-alpha DRAM production, which is being led by production out of the company's Manassas, VA fab. Micron recently (5/22; see [here](#)) announced plans to quadruple its DDR4 output at its Manassas fab - emphasizing domestic source of long-lifecycle DDR4 and LP4 memory. This was noted to represent more than \$2 billion investment in expansion + modernization. According to *TrendForce*, Micron's Manassas fab currently operates ~100,000 wpm of capacity; a facility reportedly at ~90,000 square feet in size.
- **Idaho Fab #2 - Production Output ▶ Late-CY28:** Micron's plans to build out Idaho Fab #2 with expected output to commence in late-CY28. This will be the same size as the company's Idaho Fab #1 at ~600,000 square feet.
- **New York Fabs - Production Output ▶ 2030+ Timeframe:** Micron's New York fab plans are expected to ultimately scale to four fabs with each at ~600,000 square feet in size. The company broke ground on its initial New York fabs earlier this year; targeting DRAM output in production in the 2030+ timeframe.
- **Japan Clean Room Expansion - Production Output ▶ CY28+:** MU is expanding its clean room space in Japan to accommodate EUV (latter part of decade). In November 2025 Micron announced that it would spend ¥1.5 trillion (~\$10 billion) on a facility within its Hiroshima, Japan plant focused on high-bandwidth memory (HBM) production.
- **Singapore - HBM Advanced Packaging; Output ▶ CY28:** In January Micron announced that it is investing in a new HBM advanced packaging facility in Singapore with production noted to begin in CY27; meaningful output looking into CY28.

For **NAND**, Micron highlighted it broke ground on its new Singapore complex with a new ~700,000 square foot NAND fab necessitated by Micron moving its NAND research & development to Singapore. The company has noted this represents a \$24 billion investment over 10 years. The company's announcement noted that wafer production output would commence in 2H CY28.

Micron is also investing in an assembly & test facility in Gujarat, India - commenced shipments; production ramp start through 2026.

Additional Notes / Thoughts:

- **DRAM Contract Pricing Inflection Still Not Fully Reflected in Micron?** While it is important to note that it is difficult to solely look at contract pricing as an isolated proxy to modeling Micron's blended DRAM pricing (segment / product mix, flow through of contract pricing trends, etc.), we note that a review of trends of blended DRAM contract pricing would appear to imply a widened gap and leaving us to believe that we have not yet seen the full impact of the significant upward

pricing trends in Micron's fundamentals. For example, our tracking of *Bloomberg (InSpectrum)* DRAM contract pricing implies a +130% q/q increase in the February-ending quarter versus Micron reporting a mid-60% q/q blended increase. Tracked blended DRAM contract pricing implies an average +55% q/q increase for the 3-months ending May vs. our modeled +41% q/q increase. Put another way, our model currently implies MU's blended DRAM ASPs (\$/Gb) at a ~50% discount relative to our tracked implied blended contract ASP (\$/Gb) - comparing to a ~20% median discount over the ten-quarter prior to F2Q26.

- **Memory ▶ Surpassing 50%+ of Total Semiconductor Market for First Time - How High Is Too High?** While we / investors remain mostly focused on the pricing and margin attributes of what is playing out across the memory industry (DRAM & NAND), from a top-down perspective we think one of the notable data points we have seen over the past few months is that we have now seen memory expand to 50%+ of the total semiconductor industry when looking at SIA billings data. SIA billing data for March 2026 shows that total Memory billings stood at 50.6% of total estimated semiconductor industry billings - a remarkable expansion when compared to the ~22% median contribution seen prior to June 2025.
- **Traditional Server Demand.** We would expect Micron to echo the recent positive demand data points / expectations on traditional server demand. That said, we will be also interested in whether Micron sees any signs of de-spec'ing memory capacity in the server market (note: recent reports / comments from Dell and HP Enterprise point limited impacts at this point). As a reminder, starting through the 2H2025 Micron had become increasingly positive on traditional server demand - increasing its forecast meaningfully starting following the August 2025 quarter. Last quarter Micron had noted that it expected the server market to grow in the low-teens y/y range in calendar 2026 - driven by both AI and traditional servers; DRAM content to continue to grow with the introduction of new platforms (e.g., AMD *Venice* EPYC CPUs, NVIDIA Arm-based *Vera*, etc.).

As a reminder, there have been a lot of changes (increases) in server demand expectations since Micron provided its update last quarter: **1. Significant Server TAM expansion** - AMD updated its server TAM estimates from \$60B by 2030 (Nov '25) to \$120 billion; NVIDIA followed by estimating a server CPU TAM expanding to \$200 billion. **2. DDR Channel Expansion + MR-DIMM Support:** AMD has announced the commenced production ramp of their next generation 2nm Zen6-based EPYC *Venice* CPUs. While it is important to consider that it takes a few quarters for material volumes to ramp, we would re-highlight that AMD's *Venice* CPUs move from 12-channels to 16-channels for DDR5 R-DIMMs; also introducing the support for MR-DIMMs. **3. Significant Core Count Expansion Ahead.** AMD's EPYC *Venice* CPUs expand to up to 256x Zen-6c cores; Arm, and others, have highlighted core count expansion (512 cores ahead), which we view as a continued long-term positive driver of memory - i.e., keeping up with per core memory capacity + bandwidth. **4. LPDDR SOCAMM Adoption.** LPDDR5X / LPDDR6 SOCAMM support is poised to expand materially - driven most notably by NVIDIA's Arm-based *Vera* CPUs (up to 1.5TB of LPDDR5X SOCAMM2 capacity vs. up to 480GB in prior-gen *Grace* CPUs); AMD also officially announcing future support for LPDDR support in next-gen *Verano* CPUs.

- **HBM4 Ramp:** Micron announced volume shipments of HBM4 36GB 12H in C1Q26 for *Vera Rubin*, sampled HBM4 16 high / 48GB and expects HBM4E volume ramp in CY27. We think investor focus should be on supply commits, opportunities for customization/differentiation, and HBM4E GM% uplift. The increasing trade ratio of DDR:HBM also remains a focus; expected to increase to 4:1 with HBM4E vs. 3:1 at HBM3E (HBM4 somewhere in between) and thus acts as a damper on overall supply growth as mix increases.
- **1-gamma Ramp; 1-alpha DDR4 Production:** Micron's 1y node is on track to become the majority of DRAM bits by mid 2026 and management has called it the fastest ramp to mature yields and potentially the highest volume node in MU history. Despite the ramp, we expect to mainly see cost declines while leaving the industry bit growth constrained by limited clean room expansion and HBM wafer use. In addition to the company's progression of 1-gamma production ramp, we would expect the company to highlight its recent announcement that it continues to leverage its 1-alpha node for DDR4 and LPDDR4 production at its Manassas, VA fab - Micron's recent press release noting that this is the most advanced memory chip ever produced within the United States.
- **LPDDR5X / SOCAMM2:** We continued to view MU as strongly positioned for continued growth in data center LP DRAM and would remind investors MU has held a dominant share thus far. As a

reminder, Micron sampled the industry's first 256GB LP SOCAMM2 modules on 1y, which are used in NVIDIA's 88-core *Vera* CPUs to enable up to 1.5TB of capacity per CPU (8x 192GB SOCAMM2 modules) at 1.2Tbps bandwidth. This compares to NVIDIA's 72-core *Grace* CPUs supporting up to 480GB of LPDDR5X (soldered-down) capacity at 512Gbps bandwidth - i.e., *Vera* represents a >3x increase in LPDDR5X capacity. We view NVIDIA announcing at Computex that *Vera Rubin* is now in full volume production (earlier than expected) as a positive for MU; focus on volume ramp in 2H26. We continue to see SOCAMM2 as a potential TAM expander beyond NVIDIA over time.

Last quarter Micron had noted that it sees expanding usage of LPDDR memory in the data center - recent reports have highlighted AMD's plans to offer LPDDR-based SOCAMM2 support in their next-generation *Verano* EPYC CPUs. As a reminder, in early-March Micron had announced that it commenced sample shipments of the industry's first 256GB LPDDR5X SOCAMM2 modules - noted to support 2TB of LPDDR5X capacity per 8-channel server CPU for AI and HPC workloads. These solutions utilize Micron's leading position / integration of 32Gb LPDDR5X die. Micron's press release highlighted its collaboration with NVIDIA to co-design these sophisticated memory solutions for AI infrastructure.

- **NAND Flash - Enterprise SSD Momentum Remains Key Focus:** While Micron's DRAM results / outlook will be the primary focus, we would highlight Micron's enterprise SSD momentum as a key investor focus. As illustrated in the table below, based on *Trendfocus* estimates, Micron's implied enterprise SSD revenue accounted for ~63% of the company's total NAND revenue during F3Q26 - an increase from a ~40% contribution in the year-ago quarter. Micron had reported that its data center SSD revenue more than doubled q/q during F2Q26 - *Trendfocus* estimates imply a +128% q/q increase and up nearly 320% y/y. Micron had an implied enterprise SSD revenue and exabyte shipment share at ~16% and ~15% in the calendar first quarter, respectively.

With a notable mix shift toward enterprise SSDs over the past two quarters, we would highlight that these past two quarters Micron's implied blended enterprise SSD ASP (\$/GB) at 2-3x higher than Micron's blended ex-enterprise SSD blended ASP (\$/GB).

On a combined basis, *Trendfocus'* data would imply that Micron's enterprise SSD + client SSD revenue accounted for more than 82% of the company's total NAND Flash SSD revenue in the most recent quarter - an increase from a ~65% contribution in the year ago quarter.

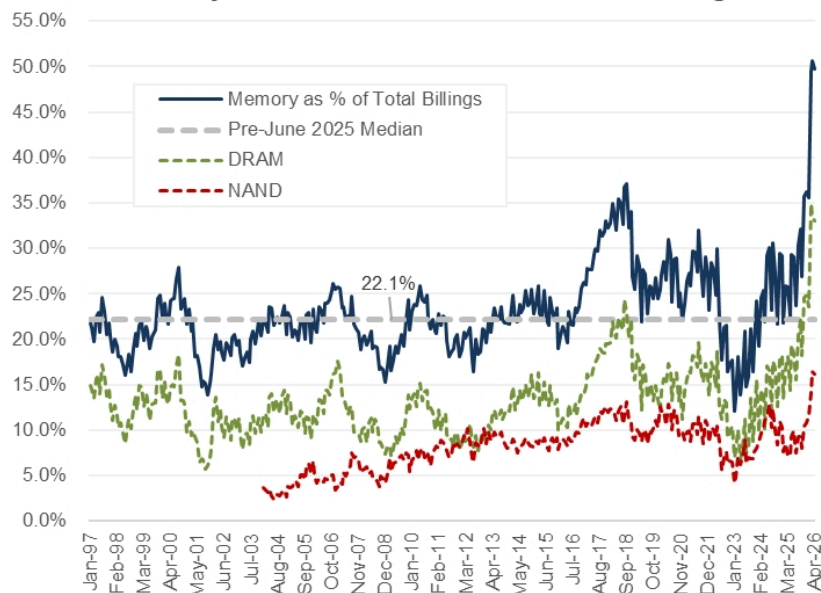
- **Reminder: NVIDIA ▶ 10%+ Customer.** Micron 10-Q filings disclose that it has had one customer accounting for 10%+ of revenue over the past several quarters. For the nine months ending F2Q26 Micron had one customer accounting for ~13% of total revenue, or implying a ~11% contribution in F2Q26. This compares to the company disclosing that it had one customer accounting for ~17% of total revenue during F1Q26. We believe this likely reflects NVIDIA.
- **Share Repurchase.** With the aforementioned \$5.4 billion senior notes tender offer completed in April (note: Micron had \$16.627 billion in total cash + investments exiting F2Q26), and coupled with strong FCF generation going forward, we believe Micron will have ample capacity for capital return expansion going forward. As of the end of F2Q26, Micron had a remaining share repurchase balance at \$2.156 billion. Micron repurchased 1.221 million shares at \$287.98/sh. during F2Q26.

Intra-Quarter Data Points

- **SIA Billings: March + April Trends Support Upside to Consensus Estimates.**
 - **DRAM:** SIA billings for the months of March + April were \$76.6B, +302% y/y. Over the past five years, March + April have on average accounted for ~63% of DRAM billings for the three months ending May. This implies May quarter (MU's F3Q26) SIA billings at ~\$122B, up ~300% y/y and up over 60% q/q. The historical correlation ($R^2 = 0.97$) between MU's reported DRAM revenue and SIA DRAM billings suggests F3Q26 MU DRAM revenue in the ~\$29.3B range vs. the current \$27.0B consensus estimate. HBM mix, LTA agreement pricing flow-through, etc. all remain important caveats, in our view. SIA data for March + April implies capacity shipments growing +34% y/y, while also implying March + April blended ASPs (\$/Gb) at +46% versus the average for the three months ending February.

- NAND Flash:** SIA billings for the months of March + April were \$37.5B, +345% y/y. March + April have on average accounted for ~63% of NAND billings for the three months ending May, which implies May quarter SIA billings at ~\$59.3B, up ~320% y/y and roughly an 80% q/q increase. The historical correlation ($R^2 = 0.92$) between MU's reported NAND revenue and SIA NAND billings suggest F3Q26 MU NAND revenue in the ~\$8.0B range vs. the current consensus estimate of \$7.4B. SIA billings data shows NAND Flash capacity shipped for March + April at +29% y/y; blended ASPs (\$/GB) implied at +72% q/q versus the three months ending April.
- South Korea DRAM & NAND Exports:** While May data has not yet been released, we would highlight the continued strength in March + April South Korean memory exports. DRAM exports were up 410% y/y and NAND Flash exports were up 441% y/y during the period. We note this represents an acceleration from export growth seen in the three-month ending February period where DRAM and NAND exports were +280% and +339% y/y, respectively.
- Nanya Monthly Revenue:** Nanya's three-month ending May revenue was up 675% y/y, which compares to +256% and +547% y/y in the three-month periods ending November '25 and February '26; also +66% sequentially from the three-month period ending February. While we note mix differences between Nanya and Micron should be considered (i.e., MU HBM DRAM mix; DDR5 vs. DDR4 mix), in the charts below we highlight the historically high correlation to Micron's results.

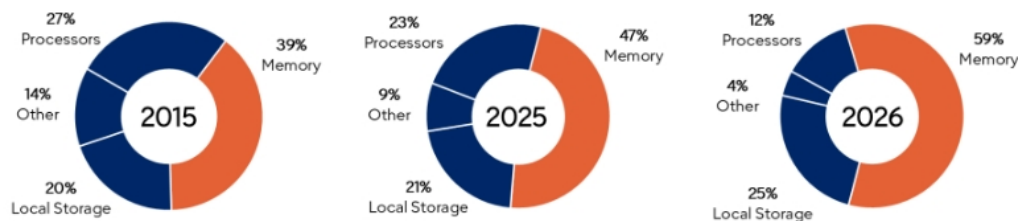
Memory as % of Total Semiconductor Billings



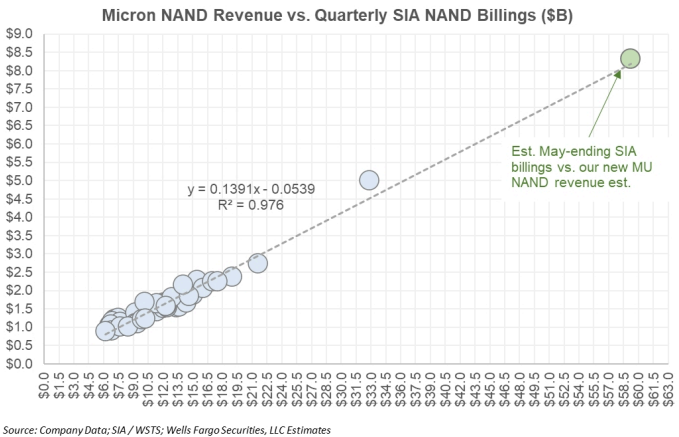
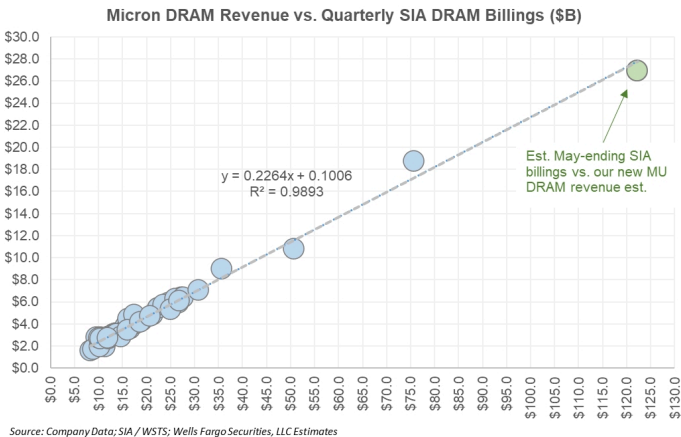
Source: Semiconductor Industry Association; FactSet; Wells Fargo Securities, LLC

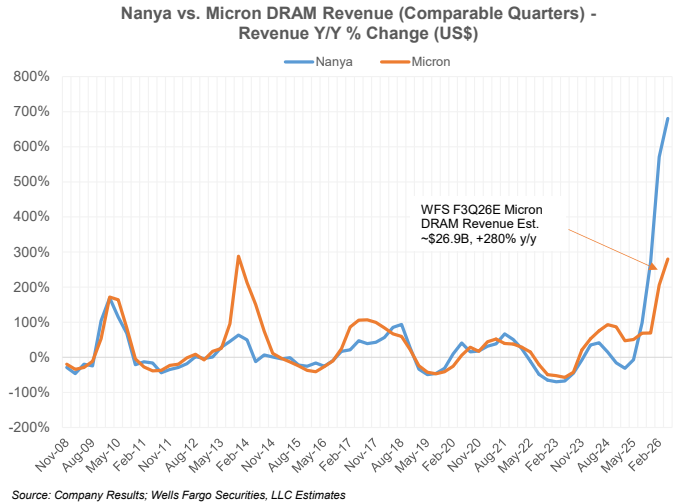
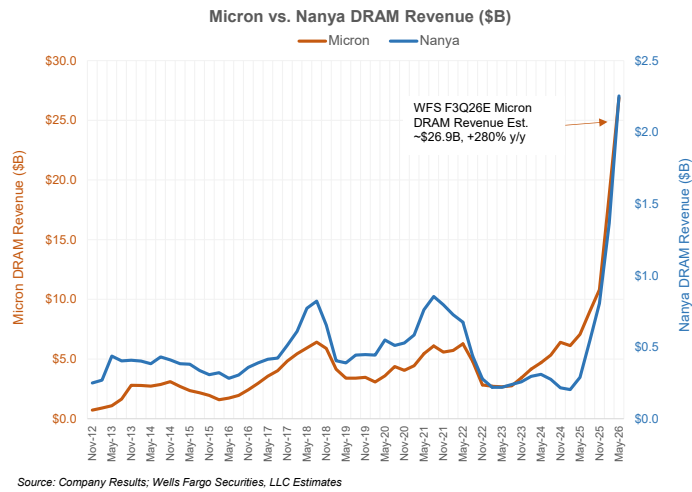
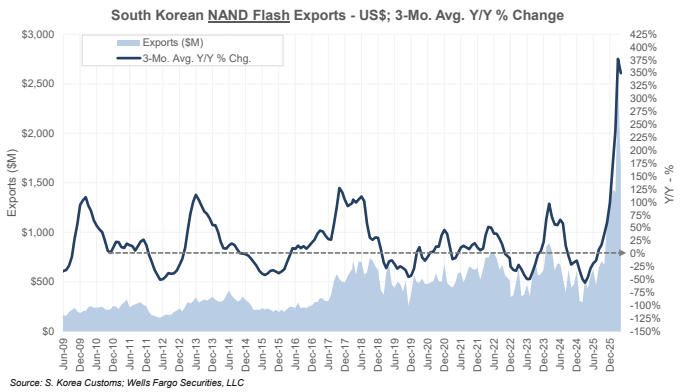
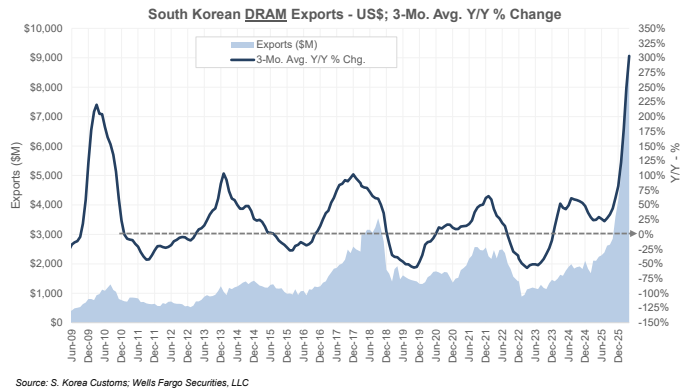
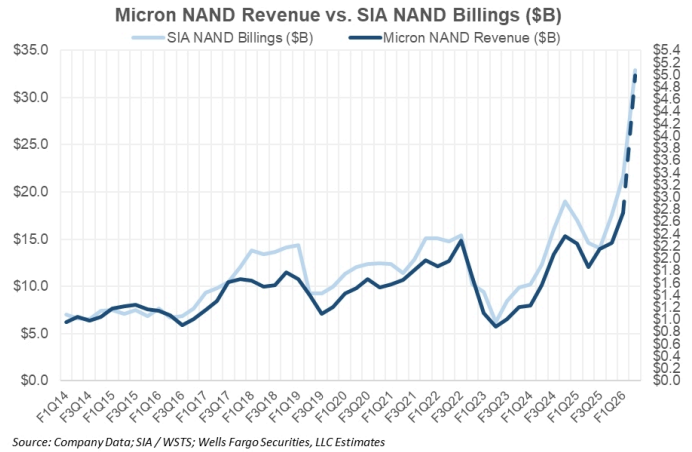
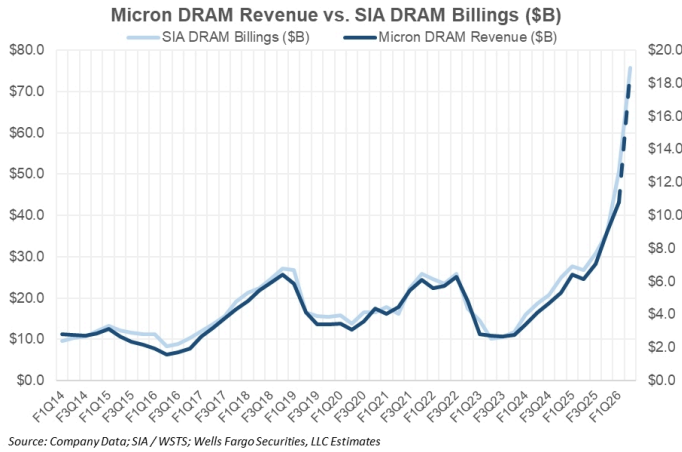
Price Impact of Memory on Basic (non-AI) Server Bill of Material, 2015-2026

Percent of Server Price by Component Type



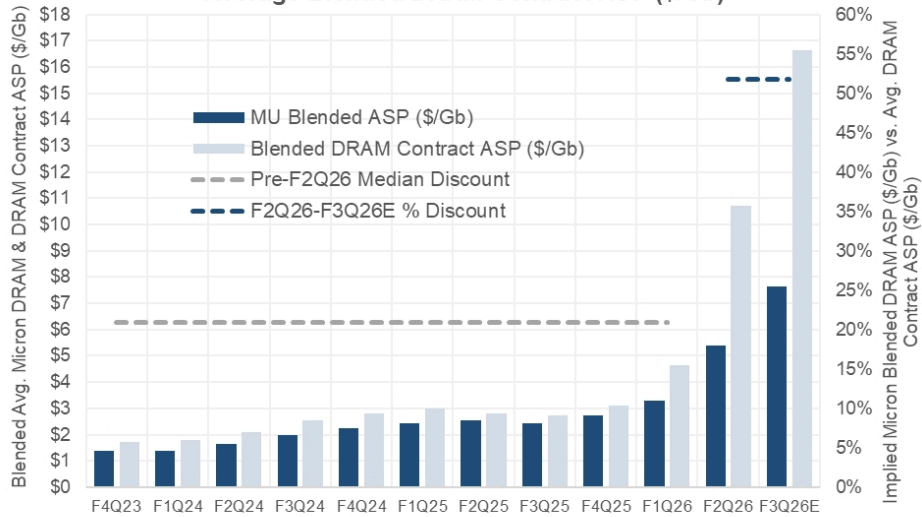
Source: Gartner





Pricing Charts - DRAM & NAND Flash

Micron Estimated Blended DRAM ASP (\$/Gb) vs. Tracked Average Blended DRAM Contract ASP (\$/Gb)

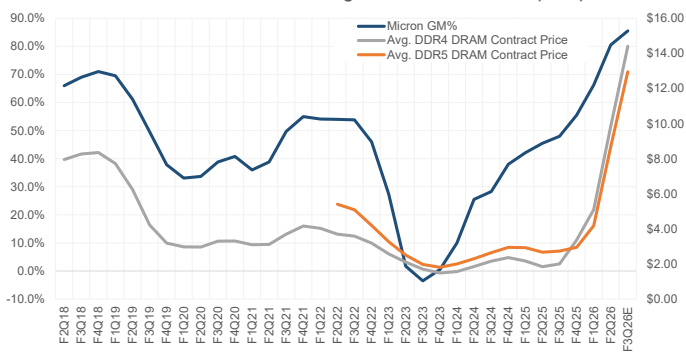


Quick Notes:

- Micon's blended DRAM ASP (\$/Gb) expansion has trailed the significant increases seen in overall blended DRAM industry contract pricing.
- MU reported F2Q26 blended DRAM ASPs (\$/Gb) up mid-60% q/q in F2Q26 vs. tracked blended DRAM contract ASPs at +130% q/q (PC DRAM at +102% q/q; Server DRAM at +170% q/q).
- Our F2Q26-F3Q26 blended MU DRAM ASPs (\$/Gb) implies a ~52% discount to tracked blended DRAM contract prices vs. a ~20% median discount over ten quarters pre-F2Q26.

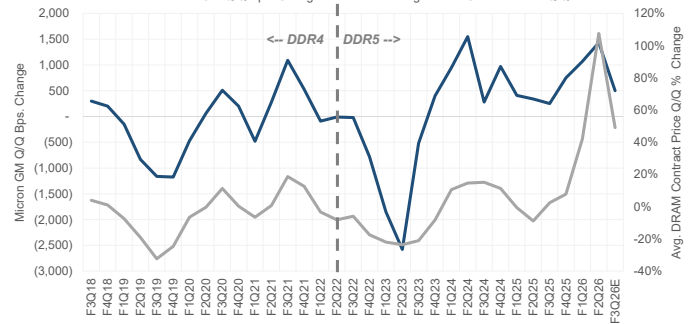
Source: InSpectrum (Bloomberg); Wells Fargo Securities, LLC

Micron DRAM GM% Est. vs. Average DRAM Contract Price (\$/GB)



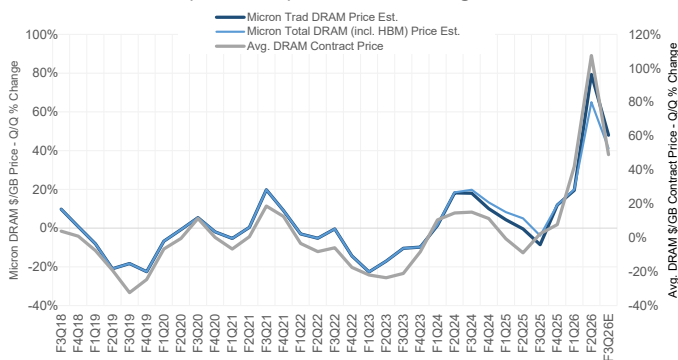
Source: TrendForce; Company Data Wells Fargo Securities, LLC Estimates

Micron DRAM GM% vs. Average DRAM Contract Price (\$/GB) - Q/Q Change



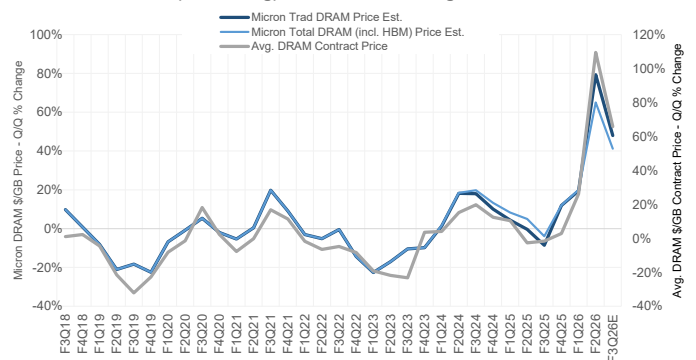
Source: TrendForce; Company Data Wells Fargo Securities, LLC Estimates

Micron DRAM Price Est. vs. Avg. DRAM Contract Price (TrendForce) - \$/GB; Q/Q % Change



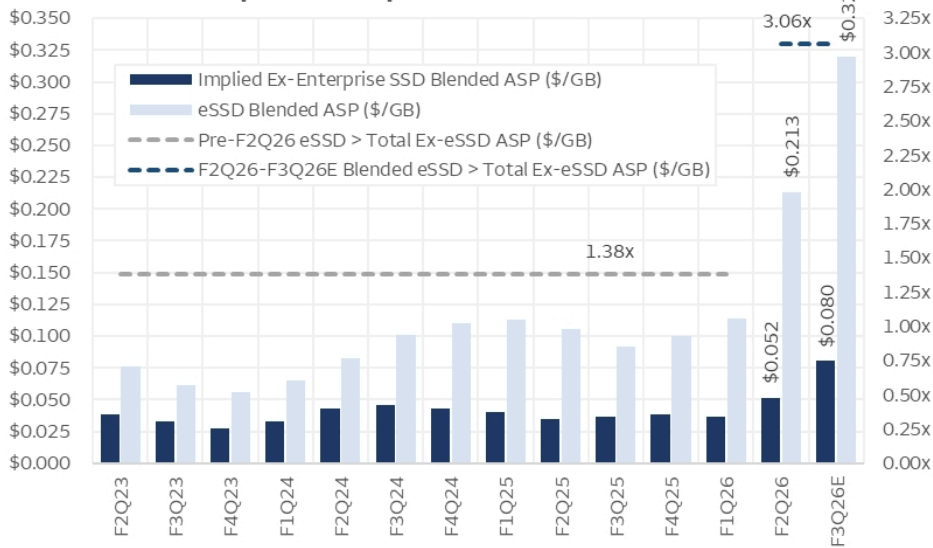
Source: TrendForce; Company Data Wells Fargo Securities, LLC Estimates

Micron DRAM Price Est. vs. Avg. DRAM Contract Price (Bloomberg) - \$/GB; Q/Q % Change



Source: Bloomberg; Company Data Wells Fargo Securities, LLC Estimates

Micron Implied Enterprise SSD vs. Ex-eSSD ASP (\$/GB)

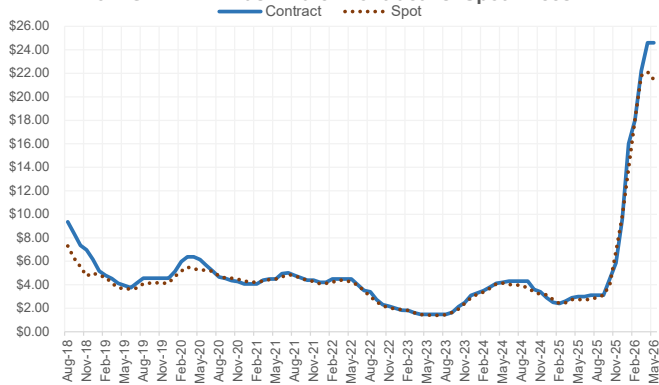


Source: Trendfocus; Wells Fargo Securities LLC Estimates

Quick Notes:

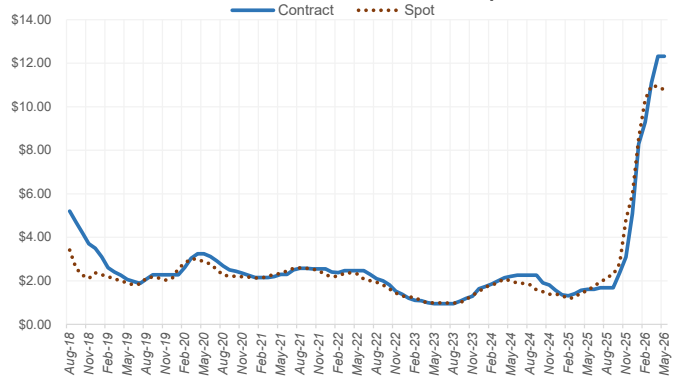
- Based on *Trendfocus* estimates, we think Micron's significant increase in enterprise SSD contributions (60%+ of total NAND revenue) implies a strong mix impact on MU's total blended NAND ASPs (\$/GB).
- Trendfocus* estimates imply that Micron's eSSD blended ASP (\$/GB) stood at a ~3.1x premium when compared to our total implied ex-eSSD blended ASP (\$/GB) in F2Q26 - comparing to a ~1.4x ASP (\$/GB) premium for the twelve quarter pre-F2Q26.
- Micron reported that its total enterprise SSD revenue grew by more than 2x q/q in F2Q26 - expect F3Q26 results to reflect continued momentum.

512GB NAND Flash Wafer Contract vs. Spot Prices



Source: Bloomberg / InSpectrum; Wells Fargo Securities, LLC

256GB NAND Flash Wafer Contract vs. Spot Prices



Source: Bloomberg / InSpectrum; Wells Fargo Securities, LLC

Micron's Segmentation (Starting F4Q25)

	F4Q24	F1Q25	F2Q25	F3Q25	F4Q25	F1Q26	F2Q26	Annual		
								F2023	F2024	F2025
Cloud Memory Business Unit (CMBU)										
Revenue	\$1.449	\$2.648	\$2.947	\$3.386	\$4.543	\$5.284	\$7.749	\$1.872	\$3.792	\$13.524
- Y/Y % Change	-	-	-	-	214%	100%	163%	-	102.6%	256.6%
- Q/Q % Change	-	83%	11%	15%	34%	16%	47%	-	-	-
- % of Total Revenue	18.7%	30.4%	36.6%	36.4%	40.2%	38.7%	32.5%	12.0%	15.1%	36.2%
Gross Income	\$0.710	\$1.355	\$1.630	\$1.992	\$2.680	\$3.467	\$5.747	\$0.071	\$1.115	\$7.657
- Gross Margin %	49.0%	51.2%	55.3%	58.8%	59.0%	65.6%	74.2%	3.8%	29.4%	56.6%
- Depreciation & Amortization	-	\$0.511	\$0.541	-	-	\$0.725	\$0.786	\$0.909	\$1.112	\$2.260
- D&A % of COGS	-	39.5%	41.1%	-	-	39.9%	39.3%	50.5%	41.5%	38.5%
- D&A % of Revenue	N/A	19.3%	18.4%	Not Available	-	13.7%	10.1%	48.6%	29.3%	16.7%
Research & Development	-	\$0.252	\$0.262	-	-	\$0.500	\$0.536	\$0.755	\$0.769	\$1.315
Selling, General & Administrative / Other	-	\$0.037	\$0.048	-	-	\$0.083	\$0.084	\$0.090	\$0.107	\$0.213
Operating Expenses	\$0.232	\$0.289	\$0.310	\$0.419	\$0.510	\$0.583	\$0.620	\$0.839	\$0.871	\$1.528
- Opex % of Revenue	16.0%	10.9%	10.5%	12.4%	11.2%	11.0%	8.0%	44.8%	23.0%	11.3%
Operating Income	\$0.478	\$1.066	\$1.320	\$1.573	\$2.170	\$2.884	\$5.127	(\$0.768)	\$0.244	\$6.129
- Operating Margin %	33.0%	40.3%	44.8%	46.5%	47.8%	54.6%	66.2%	-41.0%	6.4%	45.3%
- % of Total Operating Income	27.4%	44.5%	65.8%	63.2%	54.9%	44.9%	31.2%	15.9%	12.6%	56.5%
Core Data Center Business Unit (CDBU)										
Revenue	\$2.048	\$2.292	\$1.830	\$1.530	\$1.577	\$2.379	\$5.687	\$2.124	\$4.984	\$7.229
- Y/Y % Change	-	-	-	-	(23.0%)	4%	210.8%	-	134.7%	45.0%
- Q/Q % Change	-	11.9%	(20.2%)	(16.4%)	3.1%	51%	139.1%	-	-	-
- % of Total Revenue	26.4%	26.3%	22.7%	16.4%	13.9%	17.4%	23.8%	13.7%	19.8%	19.3%
Gross Income	\$0.840	\$1.143	\$0.863	\$0.581	\$0.647	\$1.222	\$4.226	\$0.157	\$1.346	\$3.234
- Gross Margin %	41%	50%	47%	38%	41%	51%	74%	7.4%	27.0%	44.7%
- Depreciation & Amortization	-	\$0.422	\$0.410	-	-	\$0.432	\$0.552	\$1.020	\$1.434	\$1.530
- D&A % of COGS	-	36.7%	42.4%	-	-	37.3%	37.8%	51.9%	39.4%	38.3%
- D&A % of Revenue	N/A	18.4%	22.4%	Not Available	-	18.2%	9.7%	48.0%	28.8%	21.2%
Research & Development	-	\$0.218	\$0.203	-	-	\$0.291	\$0.358	\$0.622	\$0.960	\$0.864
Selling, General & Administrative / Other	-	\$0.054	\$0.049	-	-	\$0.041	\$0.059	\$0.098	\$0.131	\$0.190
Operating Expenses	\$0.287	\$0.272	\$0.252	\$0.274	\$0.256	\$0.332	\$0.417	\$0.720	\$1.091	\$1.054
- Opex % of Revenue	14.0%	11.9%	13.8%	17.9%	16.2%	14.0%	7.3%	33.9%	21.9%	14.6%
Operating Income	\$0.553	\$0.871	\$0.611	\$0.307	\$0.391	\$0.890	\$3.809	(\$0.563)	\$0.255	\$2.180
- Operating Margin %	27%	38%	33%	20%	25%	37%	67%	-26.5%	5.1%	30.2%
- % of Total Operating Income	31.7%	36.4%	30.4%	12.3%	9.9%	13.9%	23.1%	11.7%	13.2%	20.1%
Mobile & Client Business Unit (MCBU)										
Revenue	\$3.019	\$2.608	\$2.236	\$3.255	\$3.760	\$4.255	\$7.711	\$7.394	\$11.667	\$11.859
- Y/Y % Change	-	-	-	-	24.5%	63.2%	244.9%	-	57.8%	1.6%
- Q/Q % Change	-	(13.6%)	(14.3%)	45.6%	15.5%	13.2%	81.2%	-	-	-
- % of Total Revenue	39.0%	29.9%	27.8%	35.0%	33.2%	31.2%	32.3%	47.6%	46.5%	31.7%
Gross Income	\$0.966	\$0.709	\$0.342	\$0.804	\$1.354	\$2.285	\$6.054	(\$1.678)	\$1.445	\$3.209
- Gross Margin %	32%	27%	15%	25%	36%	54%	79%	-22.7%	12.4%	27.1%
- Depreciation & Amortization	-	\$0.708	\$0.776	-	-	\$0.709	\$0.618	\$4.319	\$3.762	\$3.177
- D&A % of COGS	-	37.3%	41.0%	-	-	36.0%	37.3%	47.6%	36.8%	36.7%
- D&A % of Revenue	N/A	27.1%	34.7%	Not Available	-	16.7%	8.0%	58.4%	32.2%	26.8%
Research & Development	-	\$0.234	\$0.236	-	-	\$0.176	\$0.126	\$1.122	\$0.994	\$0.836
Selling, General & Administrative / Other	-	\$0.096	\$0.090	-	-	\$0.092	\$0.092	\$0.389	\$0.452	\$0.392
Operating Expenses	\$0.362	\$0.330	\$0.326	\$0.322	\$0.250	\$0.268	\$0.218	\$1.511	\$1.446	\$1.228
- Opex % of Revenue	12.0%	12.7%	14.6%	9.9%	6.6%	6.3%	2.8%	20.4%	12.4%	10.4%
Operating Income	\$0.604	\$0.379	\$0.016	\$0.482	\$1.104	\$2.017	\$5.836	(\$3.189)	(\$0.001)	\$1.981
- Operating Margin %	20%	15%	1%	15%	29%	47%	76%	-43.1%	0.0%	16.7%
- % of Total Operating Income	34.6%	15.8%	0.8%	19.4%	27.9%	31.4%	35.5%	66.2%	-0.1%	18.3%
Auto & Embedded Business Unit (AEBU)										
Revenue	\$1.230	\$1.158	\$1.034	\$1.127	\$1.434	\$1.720	\$2.708	\$4.139	\$4.631	\$4.753
- Y/Y % Change	-	-	-	-	16.6%	48.5%	161.9%	-	11.9%	2.6%
- Q/Q % Change	-	(5.9%)	(10.7%)	9.0%	27.2%	19.9%	57.4%	-	-	-
- % of Total	15.9%	13.3%	12.8%	12.1%	12.7%	12.6%	11.3%	26.6%	18.4%	12.7%
Gross Income	\$0.295	\$0.236	\$0.214	\$0.292	\$0.445	\$0.778	\$1.849	\$1.234	\$1.033	\$1.187
- Gross Margin %	24%	20%	21%	26%	31%	45%	68%	29.8%	22.3%	25.0%
- Depreciation & Amortization	-	\$0.384	\$0.350	-	-	\$0.344	\$0.327	\$1.486	\$1.447	\$1.375
- D&A % of COGS	-	41.6%	42.7%	-	-	36.5%	38.1%	51.2%	40.2%	38.6%
- D&A % of Revenue	N/A	33.2%	33.8%	Not Available	-	20.0%	12.1%	35.9%	31.2%	28.9%
Research & Development	-	\$0.108	\$0.108	-	-	\$0.097	\$0.109	\$0.389	\$0.425	\$0.435
Selling, General & Administrative / Other	-	\$0.050	\$0.045	-	-	\$0.054	\$0.058	\$0.165	\$0.176	\$0.195
Operating Expenses	\$0.160	\$0.158	\$0.153	\$0.166	\$0.153	\$0.151	\$0.167	\$0.554	\$0.601	\$0.630
- Opex % of Revenue	13.0%	13.6%	14.8%	14.8%	10.6%	8.8%	6.2%	13.4%	13.0%	13.3%
Operating Income	\$0.135	\$0.078	\$0.061	\$0.126	\$0.292	\$0.627	\$1.682	\$0.680	\$0.432	\$0.557
- Operating Margin %	11%	7%	6%	11%	20%	36%	62%	16.4%	9.3%	11.7%
- % of Total Operating Income	7.8%	3.3%	3.0%	5.1%	7.4%	9.8%	10.2%	-14.1%	22.3%	5.1%
Total Other Revenue	\$0.004	\$0.003	\$0.006	\$0.003	\$0.001	\$0.005	\$0.005	\$0.011	\$0.037	\$0.013

Source: Company Data; Wells Fargo Securities, LLC Estimates

Micron NAND Flash Breakdown - Enterprise & Client SSDs; Implied Other:

Calendar Quarter Closest Micron Quarter - MU's Qtr End Date	C1Q23 F2Q23 Feb-23	C2Q23 F3Q23 May-23	C3Q23 F4Q23 Aug-23	C2Q23 F1Q24 Nov-23	C1Q24 F2Q24 Feb-24	C2Q24 F3Q24 May-24	C3Q24 F4Q24 Aug-24	C4Q24 F1Q25 Nov-24	C1Q25 F2Q25 Feb-25	C2Q25 F3Q25 May-25	C3Q25 F4Q25 Aug-25	C4Q25 F1Q26 Nov-25	C1Q26 F2Q26 Feb-26
ENTERPRISE SSDs:													
Revenue (\$M)	\$125.2	\$121.2	\$138.0	\$192.2	\$244.1	\$696.1	\$1,063.8	\$1,028.9	\$750.4	\$615.7	\$704.1	\$1,381.2	\$3,144.0
- Y/Y % Change					95.0%	474.3%	670.6%	435.2%	207.4%	(11.5%)	(33.8%)	34.2%	319.0%
- Q/Q % Change		(3.2%)	13.9%	39.3%	27.0%	185.2%	52.8%	(3.3%)	(27.1%)	(17.9%)	14.3%	96.2%	127.6%
- % of MU's Total NAND Revenue	14.1%	12.0%	11.5%	15.6%	15.6%	33.7%	45.0%	45.9%	40.5%	28.6%	31.3%	50.4%	62.9%
Micron Enterprise SSD Revenue Share	9.0%	10.4%	10.6%	9.3%	7.2%	12.9%	15.4%	15.0%	16.8%	12.6%	11.3%	14.8%	16.2%
Exabytes Shipped	1.649	1.968	2.465	2.952	2.945	6.872	9.638	9.114	7.085	6.682	7.013	12.116	14.744
- Y/Y % Change					78.6%	249.2%	291.0%	208.7%	140.6%	(2.8%)	(27.2%)	32.9%	108.1%
- Q/Q % Change		19.3%	25.3%	19.8%	(0.2%)	133.3%	40.3%	(5.4%)	(22.3%)	(5.7%)	5.0%	72.8%	21.7%
- % of MU's Total NAND EBs Shipped	7.7%	6.8%	6.1%	8.5%	8.7%	18.6%	24.2%	23.3%	18.1%	13.6%	15.0%	24.4%	29.1%
Micron Enterprise SSD EB Ship share	8.4%	10.7%	11.5%	9.5%	7.7%	13.1%	15.7%	15.2%	15.9%	11.9%	10.5%	14.0%	15.2%
Implied Blended ASP (\$/GB)	\$0.076	\$0.062	\$0.056	\$0.065	\$0.083	\$0.101	\$0.110	\$0.113	\$0.106	\$0.092	\$0.100	\$0.114	\$0.213
- Y/Y % Change					9.2%	64.5%	97.1%	73.4%	27.8%	(9.0%)	(9.0%)	1.0%	101.3%
- Q/Q % Change		(18.9%)	(9.1%)	16.3%	27.3%	22.2%	9.0%	2.3%	(6.2%)	(13.0%)	9.0%	13.6%	87.1%
Note: Estimated Blended Nearline HDD \$/GB	\$0.013	\$0.014	\$0.015	\$0.013	\$0.012	\$0.013	\$0.013	\$0.013	\$0.013	\$0.013	\$0.013	\$0.013	\$0.014
- Implied Blended MU eSSD \$/GB > Nearline HDD \$/GB	5.84x	4.53x	3.75x	4.98x	7.03x	7.88x	8.65x	8.65x	8.14x	7.05x	7.79x	8.72x	15.51x
CLIENT SSDs:													
Revenue (\$M)	\$264.2	\$304.5	\$295.5	\$365.7	\$340.9	\$469.7	\$464.9	\$465.8	\$448.2	\$478.7	\$527.4	\$580.6	\$975.7
- Y/Y % Change		15.3%	(3.0%)	23.8%	(6.8%)	37.8%	(1.0%)	0.2%	(3.8%)	1.9%	13.4%	24.7%	117.7%
- Q/Q % Change		30.1%	24.5%	29.7%	21.8%	22.7%	19.7%	20.8%	24.2%	22.2%	23.4%	21.2%	19.5%
- % of MU's Total NAND Revenue	29.8%	30.1%	24.5%	29.7%	21.8%	22.7%	19.7%	20.8%	24.2%	22.2%	23.4%	21.2%	19.5%
Micron Client SSD Revenue Share	12.0%	12.9%	10.5%	11.4%	9.3%	12.8%	11.7%	11.3%	13.6%	12.9%	12.6%	13.1%	15.2%
Exabytes Shipped	4.543	5.959	5.869	6.185	4.522	4.933	4.420	5.254	6.018	6.889	7.002	6.870	5.983
- Y/Y % Change					(0.5%)	(17.2%)	(24.7%)	(15.1%)	33.1%	39.7%	58.4%	30.8%	(0.6%)
- Q/Q % Change		31.2%	(1.5%)	5.4%	(26.9%)	9.1%	(10.4%)	18.9%	14.5%	14.5%	1.6%	(1.9%)	(12.9%)
- % of MU's Total NAND EBs Shipped	21.3%	20.6%	14.4%	17.9%	13.4%	13.3%	11.1%	13.5%	15.4%	14.1%	15.0%	13.8%	11.8%
Micron Client SSD EB Ship share	12.1%	13.0%	10.4%	11.5%	9.3%	12.9%	11.7%	11.3%	13.3%	12.8%	12.1%	13.0%	15.2%
Implied Blended ASP (\$/GB)	\$0.058	\$0.051	\$0.050	\$0.059	\$0.075	\$0.095	\$0.105	\$0.089	\$0.074	\$0.069	\$0.075	\$0.085	\$0.163
- Y/Y % Change					29.7%	86.3%	108.9%	49.9%	(1.2%)	(27.0%)	(28.4%)	(4.7%)	119.0%
- Q/Q % Change		(12.1%)	(1.5%)	17.4%	27.5%	26.3%	10.5%	(15.7%)	(16.0%)	(6.7%)	8.4%	12.2%	93.0%
IMPLIED OTHER NAND FLASH (Mobile, Automotive, Industrial, etc.)													
Revenue (\$M)	\$495.7	\$587.3	\$771.5	\$672.1	\$982.0	\$899.3	\$836.3	\$746.4	\$656.4	\$1,060.6	\$1,020.5	\$781.2	\$877.3
- Y/Y % Change		18.5%	31.4%	(12.9%)	98.1%	53.1%	8.4%	11.1%	(33.2%)	17.9%	22.0%	4.7%	33.7%
- Q/Q % Change		56.0%	58.0%	64.0%	54.6%	62.7%	43.5%	35.4%	33.3%	35.4%	49.2%	45.3%	17.6%
- % of MU's Total NAND Revenue	56.0%	58.0%	64.0%	54.6%	62.7%	43.5%	35.4%	33.3%	35.4%	49.2%	45.3%	28.5%	17.6%
Exabytes Shipped	15.129	21.069	32.406	25.492	26.296	25.149	25.778	24.671	26.014	35.443	32.794	30.725	29.978
- Y/Y % Change					73.8%	19.4%	(20.5%)	(3.2%)	(1.1%)	40.9%	27.2%	24.5%	15.2%
- Q/Q % Change		39.3%	53.8%	(21.3%)	3.2%	(4.4%)	2.5%	(4.3%)	5.4%	36.2%	(7.5%)	(6.3%)	(2.4%)
- % of MU's Total NAND EBs Shipped	71.0%	72.7%	79.5%	73.6%	77.9%	68.1%	64.7%	63.2%	66.5%	72.3%	70.1%	61.8%	59.1%
Implied Blended ASP (\$/GB)	\$0.033	\$0.028	\$0.024	\$0.026	\$0.037	\$0.036	\$0.032	\$0.030	\$0.025	\$0.030	\$0.031	\$0.025	\$0.029
- Y/Y % Change					14.0%	28.3%	36.3%	14.7%	(32.4%)	(16.3%)	(4.1%)	(16.0%)	16.0%
- Q/Q % Change		(14.9%)	(14.6%)	10.7%	41.6%	(4.2%)	(9.3%)	(6.8%)	(16.6%)	18.6%	4.0%	(18.3%)	15.1%
MICRON TOTAL NAND FLASH RESULTS:													
Total Revenue (\$M)	\$885.0	\$1,013.0	\$1,205.0	\$1,230.0	\$1,567.0	\$2,065.0	\$2,365.0	\$2,241.0	\$1,855.0	\$2,155.0	\$2,252.0	\$2,743.0	\$4,997.0
- Y/Y % Change	(54.8%)	(55.7%)	(28.6%)	11.5%	77.1%	103.8%	96.3%	82.2%	18.4%	4.4%	(4.8%)	22.4%	169.4%
- Q/Q % Change	(19.8%)	14.5%	19.0%	2.1%	27.4%	31.8%	14.5%	(5.2%)	(17.2%)	16.2%	4.5%	21.8%	82.2%
Micron Implied NAND Industry Revenue Share (%)	10.6%	11.3%	13.1%	10.7%	10.7%	12.3%	13.4%	13.6%	14.1%	13.7%	12.1%	11.6%	11.7%
Total Estimated NAND Exabytes (EBs) Shipped	21.321	28.996	40.740	34.629	33.763	36.954	39.836	39.039	39.117	49.014	46.809	49.711	50.705
- Y/Y % Change	(14.8%)	(1.8%)	73.9%	73.9%	58.4%	27.4%	(2.2%)	12.7%	15.9%	32.6%	17.5%	27.3%	29.6%
- Q/Q % Change	7.1%	36.0%	40.5%	(15.0%)	(2.5%)	9.5%	7.8%	(2.0%)	0.2%	25.3%	(4.5%)	6.2%	2.0%
Micron Implied NAND Industry EB Ship Share (%)	10.6%	14.6%	23.6%	23.4%	22.1%	19.4%	17.6%	15.5%	18.1%	22.1%	19.7%	19.5%	20.2%
Total Implied Blended NAND ASP (\$/GB)	\$0.042	\$0.035	\$0.030	\$0.036	\$0.046	\$0.056	\$0.059	\$0.057	\$0.047	\$0.044	\$0.048	\$0.055	\$0.099
- Y/Y % Change	(46.9%)	(54.9%)	(59.0%)	(35.9%)	11.8%	60.0%	100.7%	61.6%	2.2%	(21.3%)	(19.0%)	(3.9%)	107.8%
- Q/Q % Change	(25.1%)	(15.8%)	(15.3%)	20.1%	30.7%	20.4%	6.2%	(3.3%)	(17.4%)	(7.3%)	9.4%	14.7%	78.6%

Source: Trendfocus; Wells Fargo Securities, LLC Estimates

Micron Balance Sheet & Cash Flow Summary

\$ in Billions; Except per Share & Days

	F1Q22	F2Q22	F3Q22	F4Q22	F1Q23	F2Q23	F3Q23	F4Q23	F1Q24	F2Q24	F3Q24	F4Q24	F1Q25	F2Q25	F3Q25	F4Q25	F1Q26	F2Q26
	Nov-21	Feb-22	May-22	Aug-22	Nov-22	Feb-23	May-23	Aug-23	Nov-23	Feb-24	May-24	Aug-24	Nov-24	Feb-25	May-25	Aug-25	Nov-25	Feb-26
Total Cash & Investments	\$11.397	\$11.839	\$11.873	\$10.978	\$12.007	\$12.030	\$11.325	\$10.438	\$9.768	\$9.633	\$9.154	\$9.152	\$8.744	\$9.590	\$12.213	\$11.936	\$12.015	\$16.627
- Less: Total Debt	\$7.022	\$7.076	\$6.963	\$6.906	\$10.265	\$12.274	\$13.245	\$13.330	\$13.505	\$13.722	\$13.258	\$13.397	\$13.785	\$14.355	\$15.541	\$14.577	\$11.756	\$10.142
Net Cash / (Debt)	\$4.375	\$4.763	\$4.910	\$4.072	\$1.742	(\$0.244)	(\$1.920)	(\$2.892)	(\$3.737)	(\$4.089)	(\$4.104)	(\$4.245)	(\$5.041)	(\$4.765)	(\$3.328)	(\$2.641)	\$0.259	\$6.485
- Net Cash / (Debt) per Share	\$3.94	\$4.25	\$4.43	\$3.70	\$1.66	(\$0.14)	(\$1.69)	(\$2.57)	(\$3.33)	(\$3.53)	(\$3.54)	(\$3.72)	(\$4.43)	(\$4.16)	(\$2.90)	(\$2.30)	\$0.23	\$5.64
Total Debt to Adjusted TTM EBITDA	0.44x	0.40x	0.38x	0.40x	0.69x	1.20x	2.30x	4.54x	6.62x	3.19x	1.98x	1.38x	1.05x	0.95x	0.92x	0.76x	0.50x	0.27x
Total Book Value per Share	\$40.22	\$41.86	\$43.38	\$44.52	\$45.23	\$43.32	\$41.50	\$40.29	\$38.99	\$38.69	\$38.93	\$39.69	\$41.12	\$42.55	\$44.36	\$47.31	\$51.22	\$63.77
Tangible Book Value per Share	\$38.84	\$40.42	\$41.93	\$43.05	\$43.72	\$41.81	\$39.98	\$38.87	\$37.56	\$37.31	\$37.55	\$38.32	\$39.74	\$41.17	\$42.98	\$45.91	\$49.82	\$62.36
Inventory:																		
Finished Goods	\$0.610	\$0.540	\$0.620	\$1.028	\$1.649	\$1.631	\$1.775	\$1.616	\$1.282	\$1.132	\$1.280	\$1.308	\$1.211	\$1.355	\$1.223	\$1.094	\$1.142	\$0.812
Work-in-Progress	\$3.661	\$4.222	\$4.325	\$4.830	\$5.839	\$5.653	\$5.722	\$6.111	\$6.334	\$6.622	\$6.542	\$6.774	\$6.689	\$6.782	\$6.695	\$6.401	\$6.192	\$6.514
Raw Materials & Supplies	\$0.556	\$0.621	\$0.684	\$0.805	\$0.871	\$0.845	\$0.741	\$0.660	\$0.660	\$0.689	\$0.690	\$0.793	\$0.805	\$0.870	\$0.809	\$0.860	\$0.871	\$0.941
Total Inventory	\$4.827	\$5.383	\$5.629	\$6.663	\$8.359	\$8.129	\$8.238	\$8.387	\$8.276	\$8.443	\$8.512	\$8.875	\$8.705	\$9.007	\$8.727	\$8.355	\$8.205	\$8.267
- Total Inventory Days (WFS Calc)	104.1	114.4	110.2	141.0	216.9	154.6	171.0	172.9	161.7	163.2	157.6	160.7	151.8	161.2	142.1	126.5	127.9	125.2
Total Cash Conversion Cycle (WFS Calc - Days)	46.0	51.9	56.9	82.5	144.5	132.1	139.4	143.6	136.8	135.6	129.3	114.6	100.6	118.8	90.6	57.3	42.6	19.6
Cash Flow from Ops / Free Cash Flow:																		
Cash Flow from Operations	\$3.938	\$3.628	\$3.838	\$3.777	\$0.943	\$0.343	\$0.024	\$0.249	\$1.401	\$1.219	\$2.482	\$3.405	\$3.244	\$3.942	\$4.609	\$5.730	\$8.411	\$11.903
- Less: Capital Expenditures	(\$3.267)	(\$2.600)	(\$2.528)	(\$3.581)	(\$2.471)	(\$2.155)	(\$1.379)	(\$1.007)	(\$1.734)	(\$1.248)	(\$2.057)	(\$3.082)	(\$3.132)	(\$3.085)	(\$2.660)	(\$4.927)	(\$4.505)	(\$5.004)
Free Cash Flow	\$0.671	\$1.028	\$1.310	\$0.196	(\$1.528)	(\$1.812)	(\$1.355)	(\$0.758)	(\$0.333)	(\$0.029)	\$0.425	\$0.323	\$0.112	\$0.857	\$1.949	\$0.803	\$3.906	\$6.899
Trailing 12-Month CF / FCF:																		
Cash Flow from Operations	\$14.439	\$15.010	\$15.288	\$15.181	\$12.186	\$8.901	\$5.087	\$1.559	\$2.017	\$2.893	\$5.351	\$8.507	\$10.350	\$13.073	\$15.200	\$17.525	\$22.692	\$30.653
- Less: Capital Expenditures	(\$10.199)	(\$9.916)	(\$10.402)	(\$11.976)	(\$11.180)	(\$10.735)	(\$9.586)	(\$7.012)	(\$6.275)	(\$5.368)	(\$6.046)	(\$8.121)	(\$9.519)	(\$11.356)	(\$11.959)	(\$13.804)	(\$15.177)	(\$17.096)
Free Cash Flow	\$4.240	\$5.094	\$4.886	\$3.205	\$1.006	(\$1.834)	(\$4.499)	(\$5.453)	(\$4.258)	(\$2.475)	(\$0.695)	\$0.386	\$0.831	\$1.717	\$3.241	\$3.721	\$7.515	\$13.557
- Free Cash Flow per Share	\$3.69	\$4.44	\$4.28	\$2.82	\$0.90	(\$1.65)	(\$4.09)	(\$4.99)	(\$3.89)	(\$2.24)	(\$0.62)	\$0.34	\$0.73	\$1.51	\$2.84	\$3.26	\$6.56	\$11.82
- Capex % of TTM Revenue	34.4%	31.8%	32.1%	38.9%	41.2%	46.5%	52.7%	45.1%	38.8%	29.3%	28.3%	32.3%	32.7%	36.3%	35.4%	36.9%	35.9%	29.4%
- FCF % of TTM Revenue	14.3%	16.3%	15.1%	10.4%	3.7%	(8.0%)	(24.8%)	(35.1%)	(26.3%)	(13.5%)	(3.3%)	1.5%	2.9%	5.5%	9.6%	10.0%	17.8%	23.3%

Source: Company Data; Wells Fargo Securities, LLC Estimates

Micron Total Adjusted Debt (Post April Tender)

\$ in Millions

	Principal Amount	Carrying Value	Stated Rate %	Effective Rate %	Interest Expense	
					Annual	Qtrly
2031 Sr. Notes	\$1,000	\$995	5.300%	5.410%	\$53.0	\$13.3
2032 Sr. Notes	\$500	\$496	5.650%	5.790%	\$28.3	\$7.1
2033 Sr. Notes	\$750	\$746	5.875%	5.960%	\$44.1	\$11.0
2033 Sr. Notes	\$900	\$892	5.875%	6.010%	\$52.9	\$13.2
2035 Sr. Notes	\$1,000	\$993	5.800%	5.900%	\$58.0	\$14.5
2035 Sr. Notes	\$1,250	\$1,241	6.050%	6.140%	\$75.6	\$18.9
Total Tendered Debt	\$5,400	\$5,363	5.774%	5.881%	\$311.8	\$78.0
After Tax Non-GAAP EPS Impact*:					\$0.23	\$0.06
2032 Green Bonds	\$1,000	\$995	2.703%	2.770%	\$27.0	\$6.8
2041 Sr. Notes	\$500	\$497	3.366%	3.410%	\$16.8	\$4.2
2051 Sr. Notes	\$500	\$486	3.477%	3.520%	\$17.4	\$4.3
Total Remaining Notes:	\$2,000	\$1,979	2.759%	2.759%	\$61.2	\$15.3
+ Financing Leases	\$2,800	\$2,800	n/a	4.730%	\$132.4	\$33.1
Total Remaining Debt	\$4,800	\$4,779	4.035%	4.058%	\$193.7	\$48.4

* Tax Rate @ 15.5%; FD S/O @ ~1.150B

Source: Company Data; Wells Fargo Securities LLC Estimates

Micron Valuation Summary :

Price as of: 6/3/26	\$864.01	P/E - C2025	76.66x
52-Week Low	\$103.38	P/E - C2026E	9.54x
52-Week High	\$1,089.29	P/E - C2027E	6.36x
- Shares Outstanding	1.128	EV / EBITDA - C2025	41.62x
Market Capitalization	\$974.373	EV / EBITDA - C2026E	7.39x
Total Cash + Invest.	\$16.627	EV / EBITDA - C2027E	4.99x
Total Debt	\$10.142	EV / Sales - C2025	23.02x
Net Cash (Debt)	\$0.260	EV / Sales - C2026E	6.33x
Enterprise Value	\$974.113	EV / Sales - C2027E	4.39x
Tangible Book Value	\$49.82	Price to Tangible Book	17.34x

(\$ in Billions; Except per Share)

Source: Company Data; Factset; Wells Fargo Securities LLC

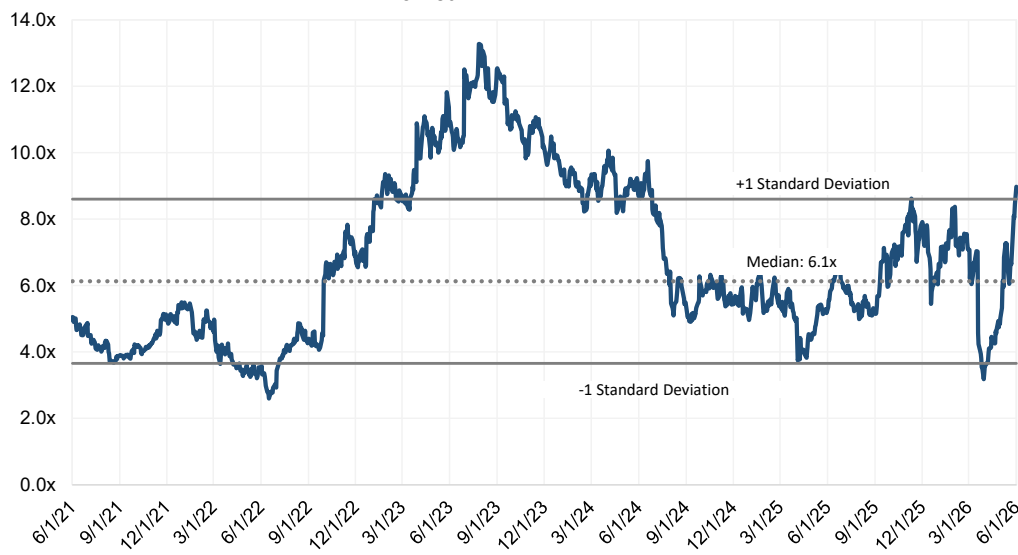
Micron Historical Valuation Summary:**HISTORICAL NTM P/E:**

	Median	Low	High
2019	18.3x	4.6x	24.6x
2020	15.1x	11.4x	20.8x
2021	9.2x	6.6x	20.7x
2022	9.3x	4.8x	nmf
2023	46.8x	45.9x	47.2x
2024	17.5x	10.6x	49.4x
2025	11.5x	6.6x	15.0x
YTD	9.6x	7.6x	11.2x
5-Yr Median	11.1x	4.8x	49.4x
3-Yr Median	12.3x	6.6x	49.4x

Source: Company Data; Factset; Wells Fargo Securities LLC

HISTORICAL NTM EV/Sales

	Median	Low	High
2019	2.35x	1.46x	2.98x
2020	2.45x	1.77x	3.51x
2021	2.89x	2.26x	3.92x
2022	2.47x	1.55x	3.70x
2023	4.05x	3.07x	4.77x
2024	3.81x	2.73x	5.56x
2025	3.13x	1.98x	5.30x
YTD	5.17x	3.96x	5.94x
5-Yr Median	3.25x	1.55x	5.94x
3-Yr Median	3.92x	1.98x	5.94x

5-Year NTM EV / EBITDA

Source: FactSet; Wells Fargo Securities, LLC

Investment Thesis, Valuation and Risks

Micron Technology, Inc. (MU)

Investment Thesis

Our Overweight rating on Micron reflects 1) a more disciplined DRAM supply vs. demand environment; positive bit demand drivers (datacenter, PCs, smartphones, etc.), 2) stronger-than-appreciated demand-side considerations driven by next-gen technologies, 3) Micron's improved competitive positioning in the DRAM and NAND markets, and 4) Micron's continually improving component-to-solutions mix and product portfolio execution (e.g., MCPs, HBM4, GDDR6X, etc.).

Target Price Valuation for MU

Our \$1,220/sh. price target reflects what we see as structural / secular support for multiple expansion (~9x our FY28 EPS est. of ~\$135, or mid/high teens P/E on \$70/sh. thru-cycle EPS).

Risks to Our Price Target and Rating for MU

Risks include highly volatile pricing for DRAM and NAND flash, the need for relatively high levels of capital investment, and large swings in Micron's profitability that have occurred in the past, and which we think are likely to continue in the future.

Companies Mentioned in Report

Company Name	Ticker	Last Price (06/05/26)
Micron Technology, Inc.	MU	\$864.01

Source: Wells Fargo Securities LLC Estimates, FactSet

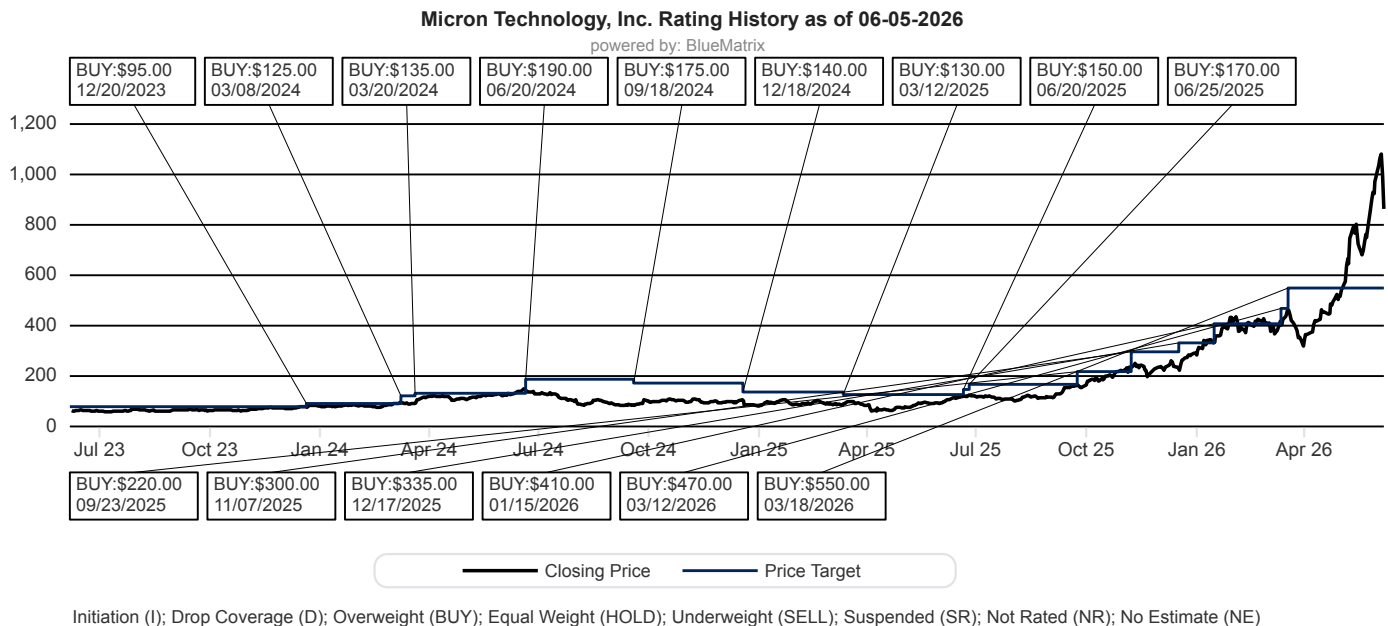
Required Disclosures

I, Aaron Rakers, certify that:

- 1) All views expressed in this research report accurately reflect my personal views about any and all of the subject securities or issuers discussed; and
- 2) No part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by me in this research report.

Wells Fargo Securities, LLC does not compensate its research analysts based on specific investment banking transactions. Wells Fargo Securities, LLC's research analysts receive compensation that is based upon and impacted by the overall profitability and revenue of the firm, which includes, but is not limited to investment banking revenue.

Additional Information Available Upon Request



Wells Fargo Securities, LLC, or its affiliates received compensation for investment banking services from Micron Technology, Inc. in the past 12 months.

Wells Fargo Securities, LLC, or its affiliates intends to seek or expects to receive compensation for investment banking services in the next three months from an affiliate of Micron Technology, Inc..

Wells Fargo Securities, LLC, maintains a market in the common stock of Micron Technology, Inc..

Micron Technology, Inc. currently is, or during the 12-month period preceding the date of distribution of the research report was, a client of Wells Fargo Securities, LLC. Wells Fargo Securities, LLC, provided non-investment banking securities-related services to Micron Technology, Inc..

Wells Fargo Securities, LLC, or any of its affiliates, intends to seek or expects to receive compensation for investment banking services from Micron Technology, Inc. in the next three months.

Wells Fargo Securities, LLC, received compensation for products or services other than investment banking services from Micron Technology, Inc. in the past 12 months.

Micron Technology, Inc. currently is, or during the 12 month period preceding the date of distribution of the research report was, a client of Wells Fargo Securities, LLC. Wells Fargo Securities, LLC, provided investment banking services to Micron Technology, Inc..

Wells Fargo Securities, LLC, or its affiliates has a significant financial interest in Micron Technology, Inc..

STOCK RATING

OW=Overweight: Total return on stock expected to be 10%+ over the next 12 months. (BUY)

EW=Equal Weight: Total return on stock expected to be -10% to +10% over the next 12 months. (HOLD)

UW=Underweight: Total return on stock expected to lag the Overweight- and Equal Weight-rated stocks within the analyst's coverage universe over the next 12 months. (SELL)

NR=Not Rated: The rating and price target has been removed due to lack of fundamental basis to support the recommendation or due to legal, regulatory or company policy considerations.

FINRA regulation requires member firms to assign ratings to one of three rating categories: Buy, Hold and Sell. In accordance with FINRA regulation and solely to satisfy those disclosure requirements in the ratings distribution table and ratings history chart contained in these Required Disclosures, our rating of Overweight corresponds to a Buy rating; Equal Weight corresponds to a Hold rating; and Underweight corresponds to a Sell rating.

As of June 7, 2026

53.2% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Overweight. (BUY)

40.2% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Equal Weight. (HOLD)

6.6% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Underweight. (SELL)

Wells Fargo Securities, LLC has provided investment banking services for 41.9% of its Equity Research Overweight-rated companies. (BUY)

Wells Fargo Securities, LLC has provided investment banking services for 39.8% of its Equity Research Equal Weight-rated companies. (HOLD)

Wells Fargo Securities, LLC has provided investment banking services for 38.6% of its Equity Research Underweight-rated companies. (SELL)

Important Disclosure for U.S. Clients

This report was prepared by Wells Fargo Securities Global Research Department ("WFS Research") personnel associated with Wells Fargo Securities, LLC ("Wells Fargo Securities").

WFS Research may, from time to time, provide clients with short-term trading views in its research reports regarding subject companies on which Wells Fargo Securities currently has equity research coverage. A short-term trading view offers a view on how the market price of a subject company's common equity may trend in absolute terms during the 30 days following the date of the short-term trading view. A short-term trading view on a subject company's common equity does not impact our fundamental investment rating or price target for that company, which reflect our view of how the subject company's common equity may perform over a one-year period. A short-term trading view may reach a different conclusion than the firm's fundamental investment rating and price target for a subject company and, therefore, short-term trading views could result in short-term price movements that are contrary to our fundamental investment rating and price target. Short-term trading views are not ratings and the firm does not intend, nor undertakes any obligation, to maintain, update or close out short-term trading views. Short-term trading views may not be suitable for all investors and have not been tailored to individual investor circumstances and objectives, and investors should make their own independent decisions regarding any short-term trading views discussed in WFS Research reports.

Important Disclosure for International Clients

United Kingdom – The securities and related financial instruments described herein may not be eligible for sale in all jurisdictions or to certain categories of investors. For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a UK incorporated investment firm authorised and regulated by the Financial Conduct Authority. For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorised person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Financial Services and Markets Act 2000 for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. This report is not intended for, and should not be relied upon by, retail clients. For the purposes of the U.K. Financial Conduct Authority's rules, this report constitutes impartial investment research.

EEA – The securities and related financial instruments described herein may not be eligible for sale in all jurisdictions or to certain categories of investors. For recipients in the EEA, this report is distributed by WFSIL or Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). This report is not intended for, and should not be relied upon by, retail clients.

Australia – Wells Fargo Securities, LLC and Wells Fargo Securities International Limited are exempt from the requirements to hold an Australian financial services license in respect of the financial services they provide to wholesale clients in Australia. Wells Fargo Securities, LLC is regulated under the laws of the United States and Wells Fargo Securities International Limited is regulated under laws of the United Kingdom. All such laws differ from Australian laws. Any offer or documentation provided to Australian recipients by Wells Fargo Securities, LLC or Wells Fargo Securities International Limited in the course of providing the financial services will be prepared in accordance with the laws of the United States or United Kingdom and not Australian laws.

Canada – This report is distributed in Canada by Wells Fargo Securities Canada, Ltd., a registered investment dealer in Canada and member of the Canadian Investment Regulatory Organization (CIRO) and, Member – Canadian Investor Protection Fund (CIPF). Wells Fargo Securities, LLC's research analysts may participate in company events such as site visits but are generally prohibited from accepting payment or reimbursement by the subject companies for associated expenses unless pre-authorized by members of Research Management.

China – Strictly Private and Confidential. For the sole use of the recipient only. Not to be copied or redistributed within the People's Republic of China.

Brazil – This report was not created for distribution to investors resident in Brazil or to the Brazilian public in general. Wells Fargo Securities, LLC is a broker-dealer registered in United States of America with and regulated by the U.S. Securities and Exchange Commission. Wells Fargo Securities, LLC is not registered in Brazil and its products, including this report and the securities mentioned in this report, have not been and will not be publicly issued, placed, distributed, offered or negotiated in the Brazilian capital markets, and, as a result, have not been and will not be registered with the Brazilian Securities Commission (Comissão de Valores Mobiliários, the CVM). The offer of Wells Fargo Securities, LLC's products, including this report and any securities mentioned in this report, is intended only for residents in the countries in which Wells Fargo Securities, LLC is authorized to operate.

About Wells Fargo Securities

Wells Fargo Securities is the trade name for the capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including but not limited to Wells Fargo Securities, LLC, a U.S. broker-dealer registered with the U.S. Securities and Exchange Commission and a member of NYSE, FINRA, NFA and

SIPC, Wells Fargo Prime Services, LLC, a member of FINRA, NFA and SIPC, Wells Fargo Securities Canada, Ltd., a member of IIROC and CIPF, Wells Fargo Bank, N.A. and Wells Fargo Securities International Limited, authorized and regulated by the Financial Conduct Authority.

This report is for your information only and is not an offer to sell, or a solicitation of an offer to buy, the securities or instruments named or described in the report. This report, including any ratings it contains, does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should seek professional advice, including tax advice, to determine whether any advice or recommendation in the attached research report is suitable for their particular circumstances. The information in this report is provided as of the date of the report and has been obtained or derived from sources believed by WFS Research to be reliable, but WFS Research does not represent that this information is accurate or complete. Any opinions or estimates contained in this report represent the judgment of WFS Research, at the time that the report was published, and are subject to change without notice.

All Wells Fargo Securities research reports published by WFS Research are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Clients may also receive our research via third party vendors. Not all research content is redistributed to our clients or available to third-party aggregators, nor is WFS Research responsible for the redistribution of our research by third-party aggregators.

Equity Strategists focus on investment themes across the equity markets and sectors. Any discussion within an Equity Strategy report of specific securities is not intended to provide a fundamental analysis of any individual company described therein. The information provided in Equity Strategy reports is subject to change without notice, and investors should not expect continuing information or additional reports relating to any security described therein.

Clients of WFS Research are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for their own internal use and for no other purpose. Without the prior written consent of Wells Fargo Securities, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment.

In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by Wells Fargo Securities, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from Wells Fargo Securities or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. These Conditions of Use are not intended to, and will not, transfer or grant any rights in or to the report or the information contained within it other than those rights that are specifically described herein. All rights not expressly granted herein are reserved by Wells Fargo Securities or the third-party providers from whom Wells Fargo Securities has obtained the applicable information.

Any external website links included in this publication are not maintained, controlled or operated by Wells Fargo Securities. Wells Fargo Securities does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of Wells Fargo Securities. Please review the applicable privacy and security policies and terms and conditions for the website you are visiting.

Copyright © 2026 Wells Fargo Securities, LLC

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE